

RESOLUTION NO. _____

ENTITLED: “A RESOLUTION AUTHORIZING SUBMISSION OF AN APPLICATION TO THE WYOMING BUSINESS COUNCIL, BUSINESS READY COMMUNITY GRANT AND LOAN PROGRAM FOR FUNDING FOR THE CONSTRUCTION OF A RAIL SPUR WITHIN THE SWAN RANCH INDUSTRIAL PARK.”

WHEREAS, the Governing Body of the City of Cheyenne wishes to participate in the Wyoming Business Council Business Ready Community/Downtown Development Program to assist Granite Peak Development, LP, (“Developer”) in the construction of a rail spur, approximately 7.2 miles in length, within the Swan Ranch Industrial Park, Cheyenne, Laramie County, Wyoming; and

WHEREAS, the purpose of the 7.2 mile rail spur is to connect existing internal rail facilities which have been constructed by the Developer adjacent to the Burlington Northern/Santa Fe Railroad rail line, which is located generally east and south of the rail park, to internal rail facilities which are currently being constructed by the Developer adjacent to the Union Pacific Railroad rail line, which is located generally west and north of the rail park; and

WHEREAS, the eligibility requirements of the Business Ready Community Program include the provision that a portion of eligible program funds may be distributed in the form of a loan to the City of Cheyenne as the grant applicant; and

WHEREAS, the City of Cheyenne may file a Business Committed application for grant/loan funds under the Business Ready Community Program of the Wyoming Business Council in a total amount not to exceed Six Million Dollars (\$6,000,000.00), subject to further negotiations between the City and Granite Peak, LP, regarding the drafting and execution of a Contingency and Development Agreement setting forth the specific duties and obligations of the parties in the event grant and/or loan funds are awarded pursuant to said application; and

WHEREAS, in the event loan funds are provided to the City of Cheyenne pursuant to said grant application, the City will secure the loan through the ownership of the steel rails and ties to be installed during construction of the rail spur until such time as the full amount of the loan and accrued interest are paid in full, and through lease revenues to be paid by Granite Peak, LP, for use of the rail spur until the loan and accrued interest are paid in full, and through the payment of additional interest to the City of Cheyenne to provide consideration for the receipt of grant and/or loan funds as required by applicable law; and

WHEREAS, the City of Cheyenne will use revenue recaptured through this project for economic development purposes in accordance with applicable rules and regulations of the Wyoming Business Council; and

WHEREAS, it is anticipated, pending the final drafting and execution of a Contingency and Development Agreement between the parties, that the use of grant and loan funds for the construction of a rail spur within the Swan Ranch Industrial Park will satisfy the eligibility criteria which have been established by the Wyoming Business Council for the Business Ready Community Program; and

WHEREAS, the City of Cheyenne will follow state procurement standards, inclusive of W.S. § 15-1-113 and W.S. § 16-6-101, *et seq.*, in the construction of the rail spur; and

WHEREAS, the City of Cheyenne will comply with the Wyoming Preference Act (W.S. §§ 16-6-201 through 16-6-206) and all related state statutes in the construction of the rail spur; and

WHEREAS, the Governing Body of the City of Cheyenne recognizes the construction of a rail spur will provide public benefit in that the rail spur will foster the location and development of manufacturing and light industrial facilities within the Swan Ranch Industrial Park which will provide jobs and diversify the property tax base of the City of Cheyenne and the County of Laramie.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, that the Mayor and the City Clerk are hereby authorized to file a Business Committed application to the Wyoming Business Council under Business Ready Community grant/loan program for the purpose of seeking an award of grant and/or loan funds, subject to the drafting and execution of a Contingency and Development Agreement to be reviewed and approved by the Governing Body.

BE IT FURTHER RESOLVED, that the Mayor of the City of Cheyenne, or such other City official as may be designated by the Mayor, is authorized to sign an application for this grant and loan request and that the Mayor, or his designated representative, is authorized to execute a grant agreement and loan documents as required by the Wyoming Business Council in the event that grant and loan funds, as described herein, are awarded to the City of Cheyenne for this project.

ADOPTED THIS _____ day of _____, 2013.

Richard L. Kaysen, Mayor

(SEAL)
Attest

Carol Intlekofer, City Clerk